

distribution of components. “Getting the component supplies diverted to India is a bigger challenge. It is like gambling. We seek allocation from distributors. Oftentimes, even after allocation, the components might get deallocated again,” explains Nandini.

Decommitment remains a major concern for EMS companies. “If there is a three-month timeline, and we experience pushouts due to unready components, it leads to decommitment. Maintaining our credibility with customers is crucial, so we are constantly juggling to mitigate such scenarios,” says Alam.

Resolution to resuscitate

While the government puts the policies in place, what does an electronics manufacturer do? Both Alam and Nandini adopt different resolutions with respect to operations and policy, respectively.

While tier one EMS companies may have stable ordering patterns due to manufacturing certain products at scale, companies with high mix-medium volume orders, are unable to rely on just-in-time inventory management. “OEMs expect timely supply without stocking inventory themselves, placing pressure on EMS companies to maintain stock. This dynamic leaves EMS companies caught between component suppliers and OEMs, bearing the burden of inventory management. This imbalance raises concerns about meeting sudden demand surges. While just-in-time practices may work for some, a balance between inventory stocking and on-time delivery is essential for the industry’s stability,” explains Nandini.

Alam believes that cross functional teams, including purchase and marketing, bear the responsibility of feeding correct demand projections into the system. To tackle decommitment, the current method



involves a purchase price variance (PPV). “We either wait for the new delivery schedule or expedite the current purchase orders. If the customer is flexible with slight delays, we continue with the current orders, else send a fast-track purchase order at a higher price to secure components from suppliers with available stock,” he elaborates.

Inaccurate or changing projections due to an erroneous method of calculating demand forecasts also play a key role in mismatched inventory. An EMS manufacturer needs to prioritise between firm customer orders and forecasted demands. “For firm demand and firm sales orders, 100% ordering is essential. Additionally, they may consider ordering for only 50% of the forecasted demand initially. As projects mature and actual demand crystallises, based on previously agreed contract volumes and resulting sales orders, the purchase teams can then initiate orders to meet forecasted demands, explains Alam.

With multiple enterprise resource planning systems in place, assimilating information about various sources, suppliers, and competitive information about compo-

nents is easy. The challenge lies in gathering this data. Highlighting the need for a dedicated ERP system, Alam explains that traditional ERP systems do not distinguish between firm and forecast orders. “It treats all demand as total demand. The ERP then generates output detailing required raw materials and the schedule for purchase requisitions (PR). Purchase teams must adhere to this schedule, ensuring timely conversion of PRs to orders, especially for long-lead time items,” he says.

High functioning ERP systems also come at a high price point, which could impact profitability of a mid-range EMS company. While companies offering open source based ERP systems are many, such a dedicated inventory manager for EMS companies is still in the works. This brings us back to the initial conundrum—what do we do with the excess inventory lying in the shelves of EMS companies?

There are ways to dispose of old inventories with the foray of companies such as Rochester Electronics that specialise in managing old inventory by repurposing, extending its lifecycle, optimising its use,